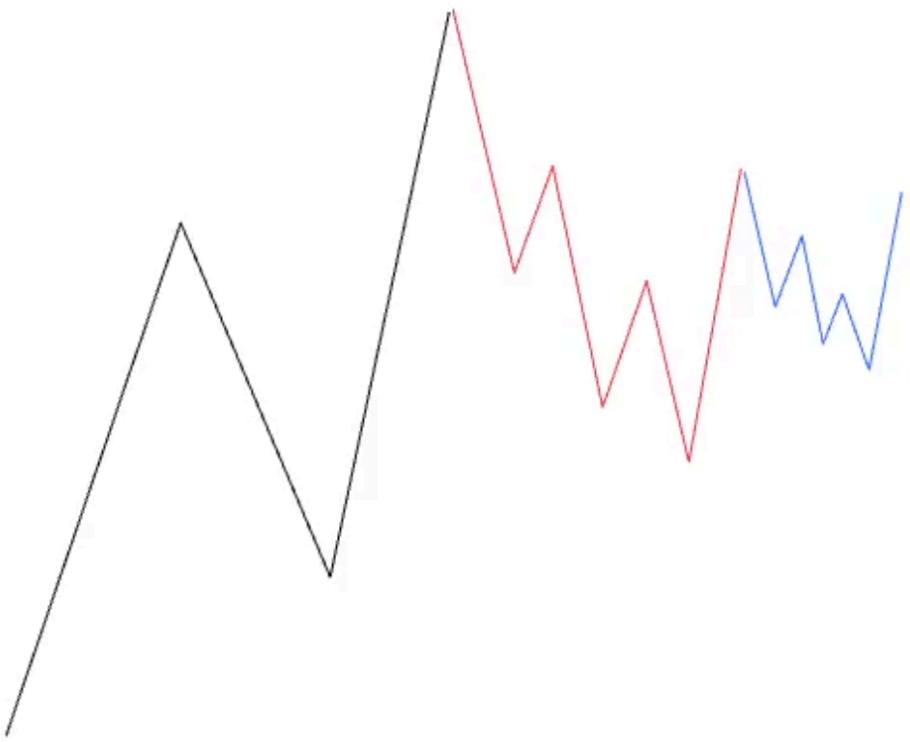
Section A.1 : Elaboration on key fundamentals - Market Structure

Dissecting 3 different levels of structure referred to as level 1,2 & 3 when focusing on a specific price point.

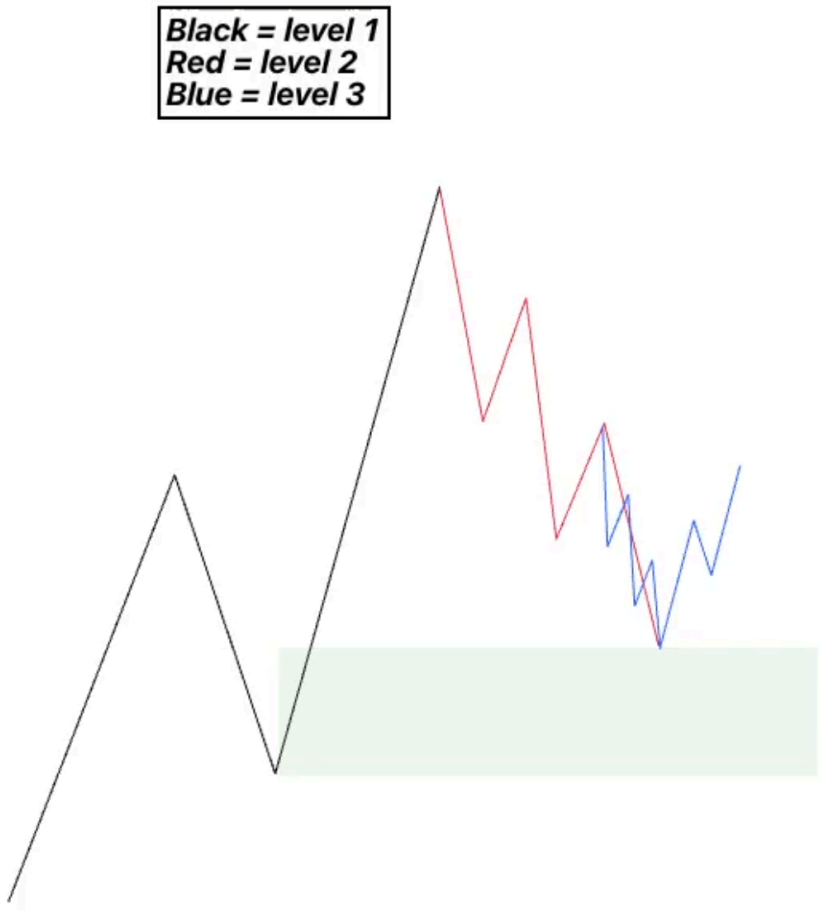
In the following examples legend for the charts:
Black = level 1
Red = level 2
Blue = level 3



There might have been some confusion around the concept because the importance of the structure pool is not connected to the timeframe that we're pulling it on, but rather the way that we are pulling the structure. So either from bottom to top, or top to bottom and therefore the terminology level 1, 2 and 3. It showcases the different characteristics of each individual market structure pool, rather than a timeframe.

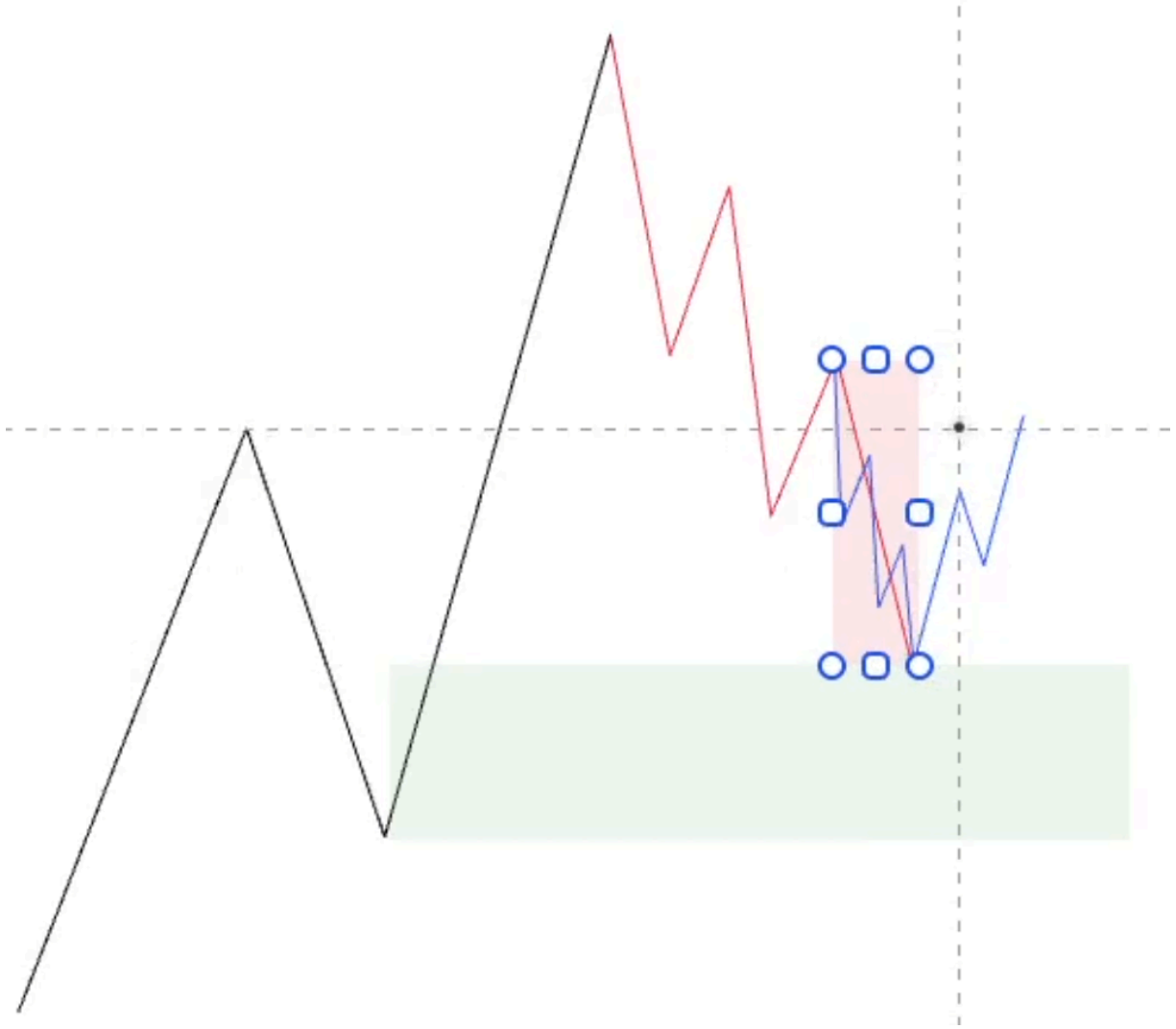
We use it in two core ways that can be explained in a very simple but effective manner.

So we have two core main ways our level 1 market structure is always going to be the most important market structure pool depending on what we are focusing on. This is very crucial to understand because technically speaking there are hundreds of different levels of structure on an individual chart but not every structure pool is as relevant as the other. When we're looking into confirm a 5-minute pivot point we do not really care what the two week timeframe is doing. So the level one market structure pool is always going to be the most important market structure poo andl is going to be depending on what we're going to be focusing on, in price.
Right below (referring to the picture below) here we can see that level 1 is trending up and we have a low we have a high and we have a higher low and a higher high. This could for example be the most recent expansion from range discounts to equilibrium of the range.

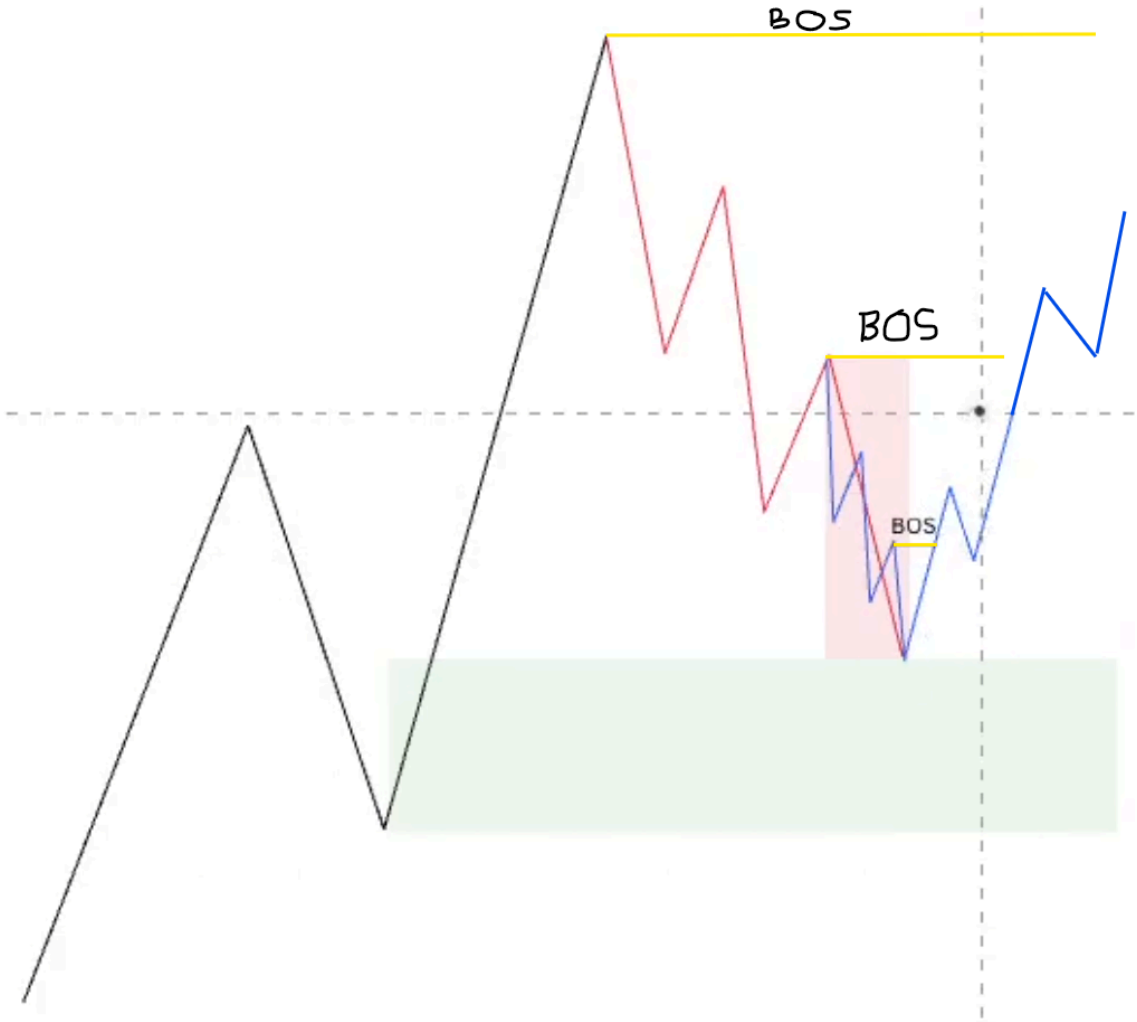


We can see that level 1 is trending up, that's our primary focus and therefore level 1 is the most important market structure pool and is trending up making a low, a high, a higher low and a higher high and the market structure can be drawn from bottom to top. If level 1 is trending up and the market structure is therefor drawn from bottom to top, level 2 will always be drawn from top to bottom and will be trending down if our level 1 is trending up. So if the structure (level 1) can be pulled from bottom to top, level 2 will always be trending down and the structure(level 2) will always be pulled from top to bottom as you can see right here in red(example above).

Level 3 will simply be the refined market structure of the most recent expansion of level 2 so you can see(in the example below) that the most recent expansion towards it down to level 2 the refined structure in that leg is going to be our level 3.

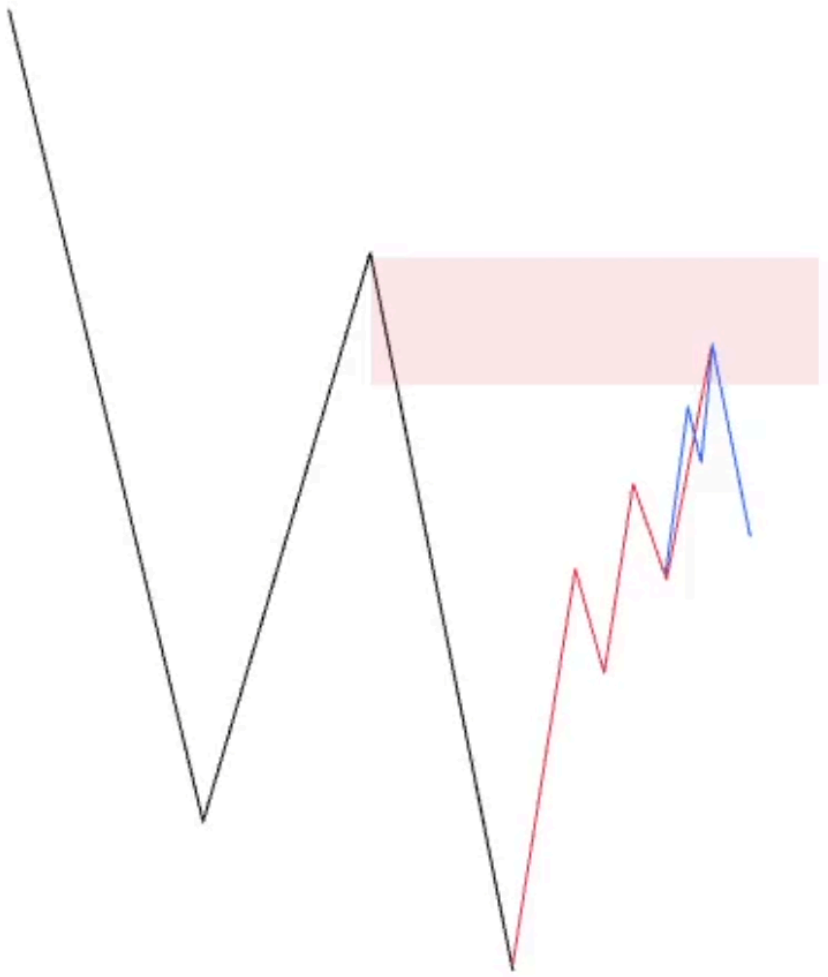


You’r simply be going to use that from a domino perspective so we have level 3 right there(example below) and we break that back to bullish(BOS). That confirms rotation back up to level two and then if we then break level 2 (BOS), that confirms rotation backup to level 1. Shown below:

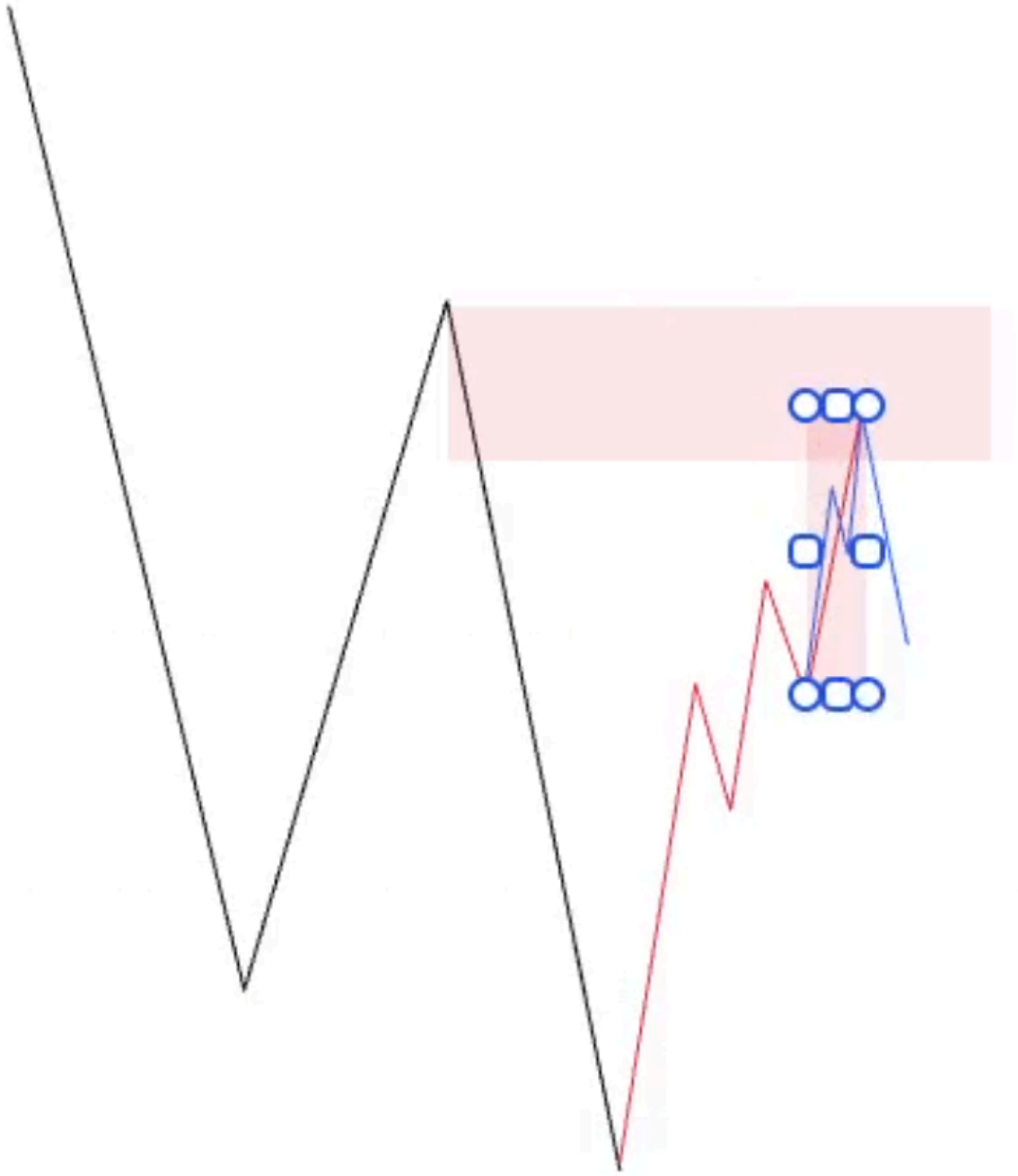


But the characteristics is simply a level 1 trending up level 2 will always be trending down and then level 3 will be that refined structure of the most recent expansion of level 2. Which we can use from a domino perspective to confirm a very early entry for a Higher time frame(HTF) pivot point.

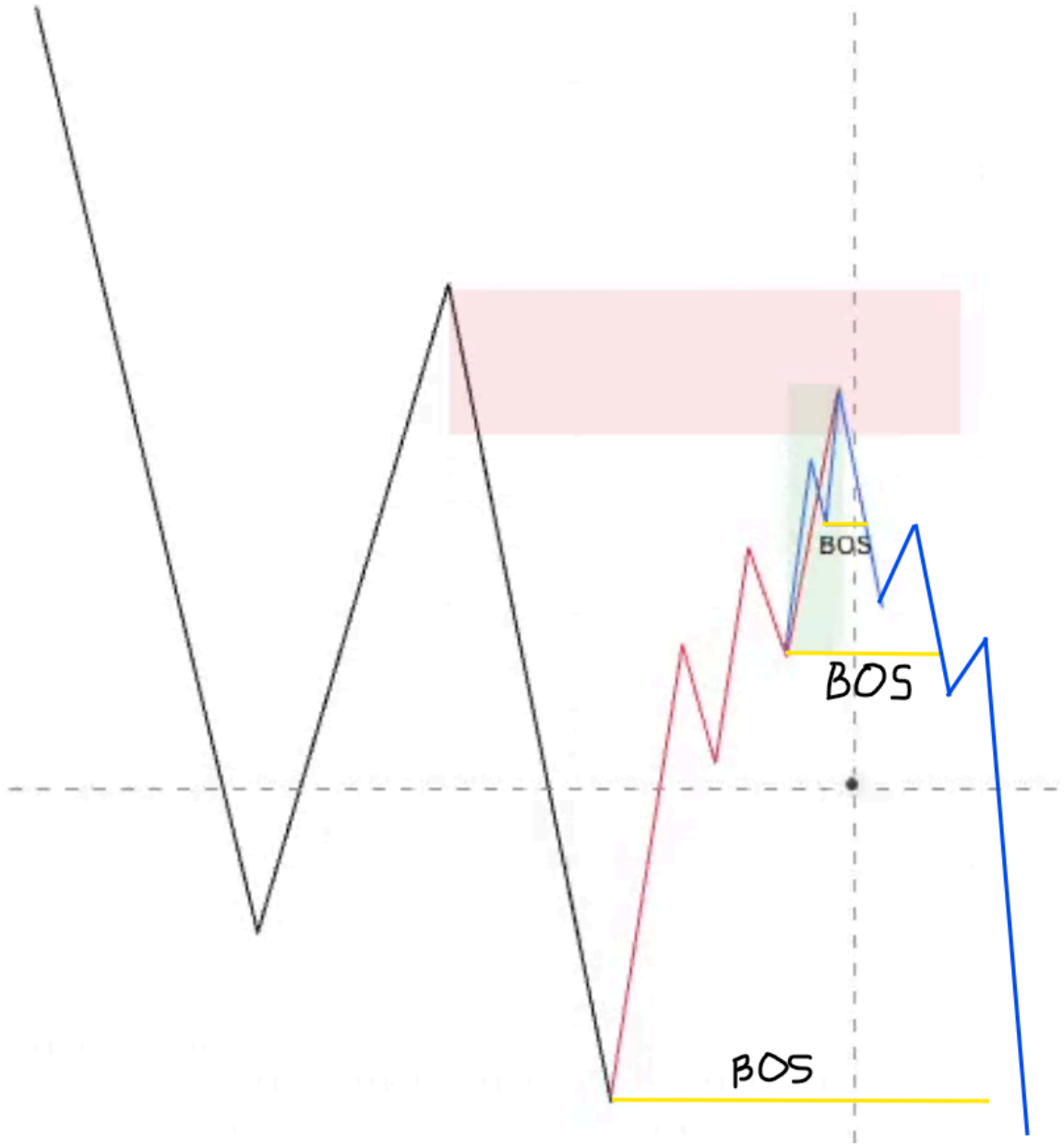
This obviously works in the exact same way also when we're trending down. You can see below level 1 has a high, has a low, has a lower high and a lower low. Therefore level 1 is trending down and the structure is drawn from top to bottom, and therefore level 2 will always be drawn from bottom to top.(example below).



Again level 3 will Simply Be refined structure within the recent expansion of your level 2 as you can see right here in blue(example below).



We simply use that level 3 from a domino effect perspective. if we break level 3 (BOS) back to bearish that confirms a move back down to level two, and if level 2 breaks (BOS) that confirms rotation back down to level 1. Example below:

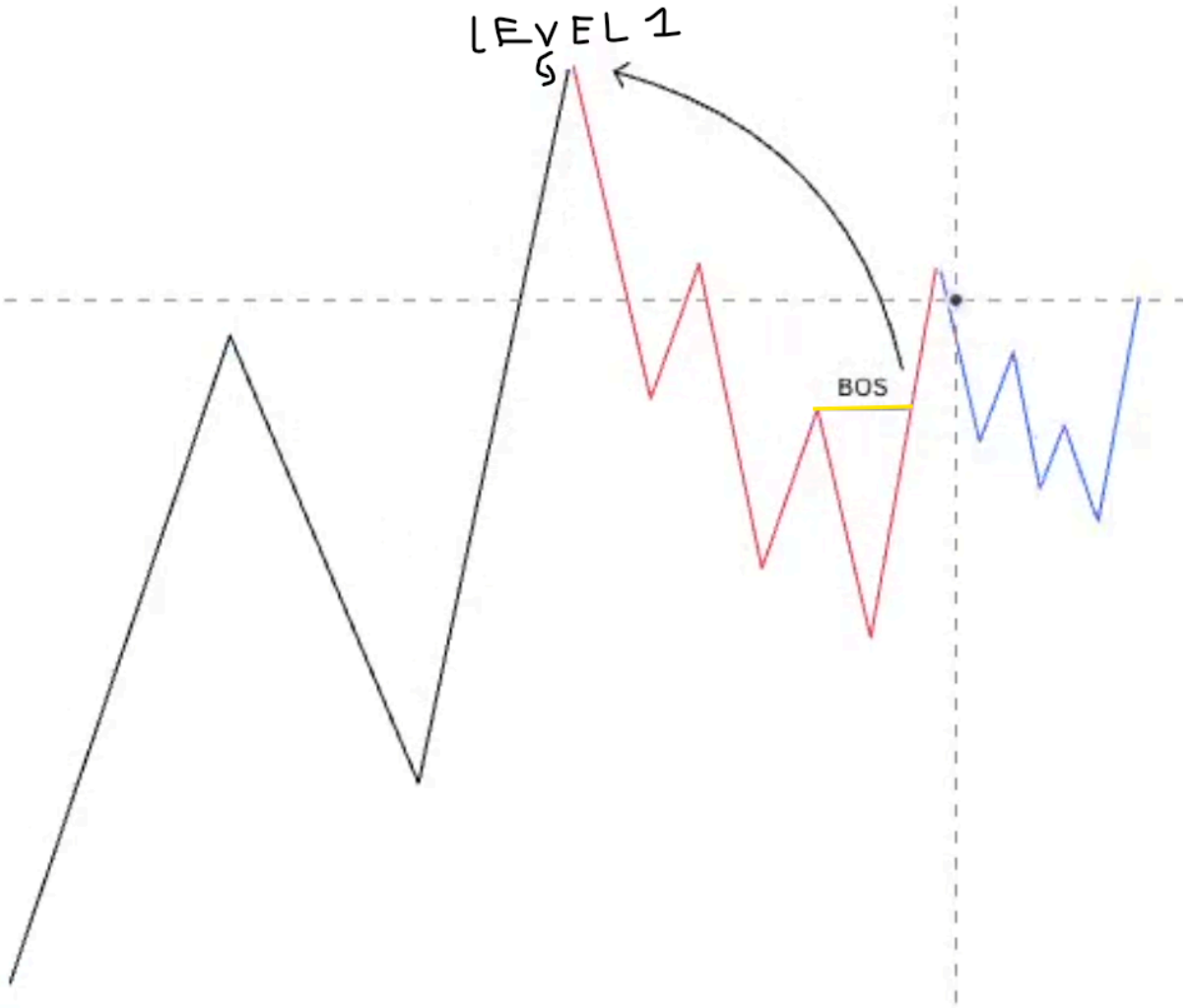


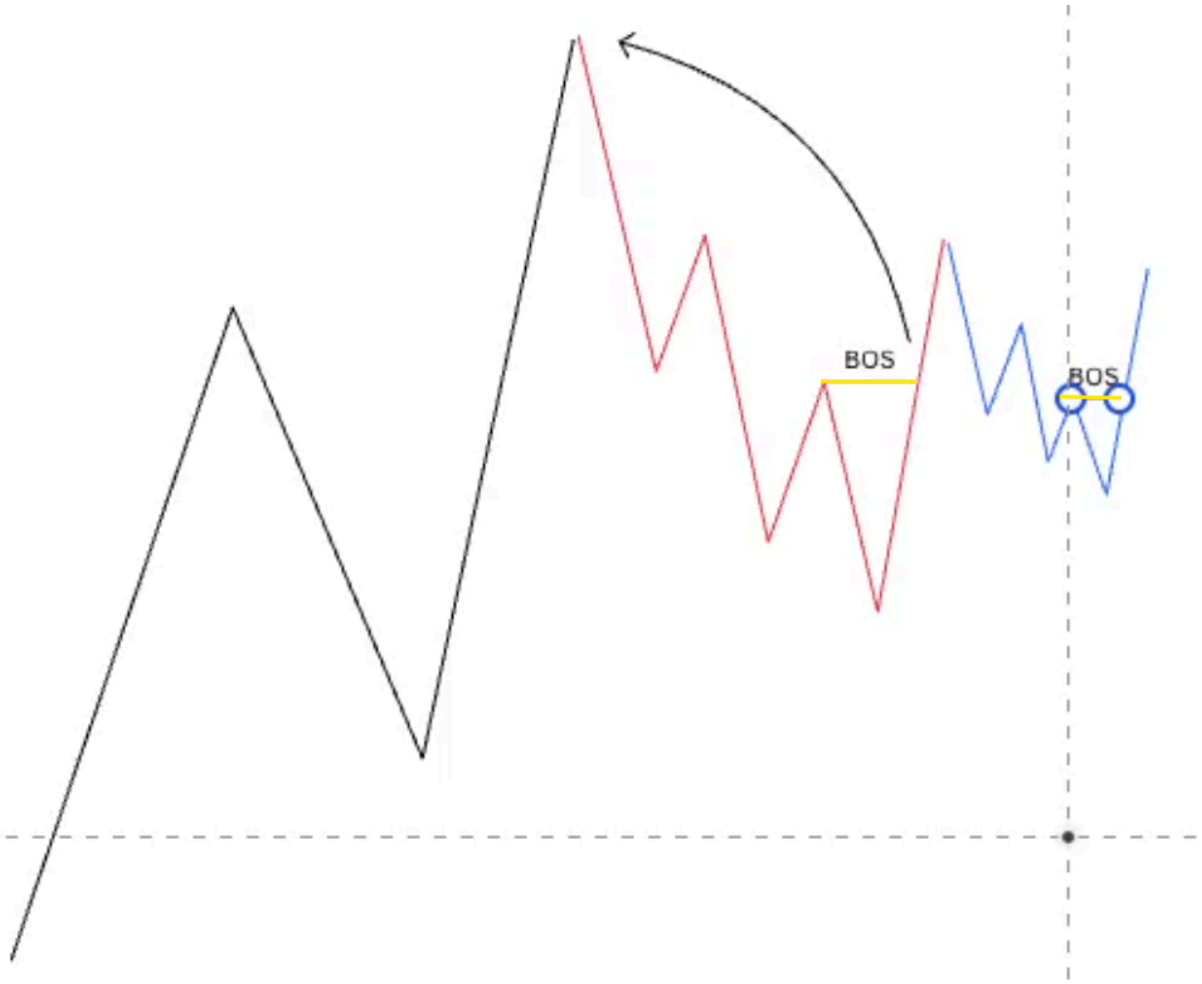
NOTE: breaking level 3 and 2 does not guarantee a break of level 1.

This is going to be the first core way that we're going to be looking at structure from a level 1, 2 and 3 perspective. If level 1 is trending up, level two is trending down and level 3 is to refine the structure of the most recent expansion of level 2. (Bullish)

If level 1 is trending down, level 2 is trending up and level 3 is the refined structure of the most recent expansion of level 2. (Bearish)

The other way is when level 2 has already been broken and we're trying to confirm the pivot point after our level 2 market structure break. You can see in the example below; level 1 is trending up, having a low, a high, a higher low and a higher high. and level two is trending down. And has already broken structure back to bullish (in the example below).



The curved arrow in the example above is the bullish break a structure(BOS) and this already confirms the rotation back up to that level one market structure high.

However now after that bullish break of structure we see structure develop from top to bottom and that is simply going to be our level 3. And if we break that level 3structure back to bullish, that confirms your rotation back up to level 2 and therefore also the rotation back up to level 1 due to the bullish break of structure (BOS) that we already had before. So in this case we're using level 3 to confirm the higher low, for the higher high on our level 2 because level 2 already broke back to bullish. Example below: